The Automation Iceberg: AI Models Have Hidden Escalation Behaviors That Require Alignment

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Paper under double-blind review

Abstract

Effective automation depends on deciding when to act and when to escalate. We model this as a decision under uncertainty: an LLM forms a prediction, estimates its probability of being correct, and compares the expected costs of acting and escalating. Using this framework across five domains—demand forecasting, content recommendation, content moderation, loan approval, and autonomous driving—and across multiple model families, we find systematic differences in the implicit thresholds models use to trade off these costs. These thresholds vary substantially and are not predicted by architecture or scale, while self-estimates are typically overconfident and poorly calibrated. We then test interventions that target this decision process by varying cost ratios, providing explicit accuracy hints, and training models to follow the desired escalation rule. Prompting helps mainly for reasoning models, DPO fails to recover the underlying decision rule on realistic scenarios, and SFT on chain-of-thought targets yields the most robust policies, which generalize across datasets, cost ratios, framings, and held-out domains. These results suggest that escalation behavior is a model-specific property that should be characterized before deployment, and that robust alignment benefits from training models to reason explicitly about uncertainty and decision costs.

1 Introduction

LLM-based agents are increasingly deployed to automate consequential decisions. Systems today use LLMs to triage customer support tickets (Wang et al., 2024), generate and execute code (Jimenez et al., 2024), and manage multi-step workflows in enterprise settings (Wu et al., 2024). It is natural to assess agents' capabilities based on speed, accuracy and cost-savings (Jimenez et al., 2024; Chiang et al., 2024; Trivedi et al., 2024). However, in each setting, an agent faces a choice that receives far less scrutiny: should it implement its own decision, or escalate to a human?

Agent escalation behavior is fundamental to responsible automation. An agent that fails to escalate when it is uncertain, or incorrect, will implement wrong decisions at scale (Lanham et al., 2023), while an agent that always escalates defeats the purpose of automation. Two parameters govern responsible escalation. First, the agent must have a calibrated sense of its own accuracy: it should recognize when its predictions are likely wrong (correct), and thus escalation is more (less) appropriate. Second, the agent must apply a consistent decision threshold — the predictive accuracy at which the agent is indifferent to escalating vs. implementing — that reflects the relative costs of implementing an error vs. human labor in a specific situation.

We study escalation behavior across five models spanning three model families and a range of model sizes: Qwen3.5-9B, Qwen3.5-397B-A17B, Qwen3-Next-80B-A3B, Llama 4 Maverick, and GPT-5-mini. We evaluate these models on five decision-making tasks: demand forecasting, loan approval, content moderation, content recommendation and moral dilemmas (featured in the Appendix). Ultimately, we find that LLMs do not satisfy either condition for reliable escalation.

First, LLMs are overconfident in their prediction ability, and tend to overestimate their own predictive accuracy. The consistency of this overconfidence across models suggests that practitioners cannot trust LLMs to reason reliably about their own predictions. Prior work has documented LLM overconfidence in factual knowledge (Kadavath et al., 2022) and calibration failures in question answering (Xiong et al., 2024), but these studies measure confidence in isolation. We show that overconfidence has direct operational consequences: in a decision-making pipeline, models escalate less when predictive accuracy is high. Ultimately, overconfident models implement predictions they should defer.

Second, escalation behavior varies substantially across different models; this variance is not associated with model architecture or size. Some models tend to prefer escalating (lower decision threshold), some generally favor implementing (higher decision threshold). This is a critical insight for practitioners hoping to automate tasks or processes with AI: models have hidden escalation profiles that fluctuate drastically, which could lead to extreme differences in escalation behavior if practitioners are not aware. Togther, this overconfidence and variance in escalation behavior constitute the "Automation Iceberg": hidden model dynamics that could disrupt a larger workflow.

We test a series of interventions designed to control and align escalation behavior. Cost framing — specifying the relationship between the cost of labor and implementing a wrong prediction — alone has no effect, while the combination of cost framing and extended thinking produces substantial improvement. We then turn to fine-tuning: direct preference optimization (DPO) achieves near-perfect escalation accuracy on simplified prompts but fails to generalize to full scenario prompts, where it memorizes domain-specific associations rather than learning the decision rule. Supervised fine-tuning (SFT) with chain-of-thought reasoning yields the best results, producing a model that makes optimal escalation decisions across all datasets, cost ratios, and framings, including held-out domains it was never trained on.

2 Theory

2.1 The Escalation Decision

Consider a workflow in which a human delegates a binary task to an LLM-based agent. The agent observes a scenario x, produces a prediction $\hat{y} \in \{0, 1\}$; the ground truth is the human's latent preference $y \in \{0, 1\}$. The agent then decides whether to *implement* (act on) its prediction or *escalate* (defer to the human). Every action an agent takes in practice contains an implicit escalation decision: when it makes a tool call, generates a response, or commits a change, it is choosing to implement rather than escalate and ask for guidance. Figure 1 illustrates this workflow.

We model the agent's behavior as follows. After producing its prediction, the agent forms an internal estimate $\hat{p}$ of its probability of being correct, or $P(\hat{y} = y)$. It then compares $\hat{p}$ to a threshold τ and escalates if $\hat{p} < \tau$.

2.2 Cost Structure

One of two costs can be incurred depending on the agent's action. If the agent escalates, the human pays a labor cost $c_\ell > 0$, which represents the time and effort of human review. If the agent implements and its prediction is wrong, the human pays an error cost $c_w > c_\ell$. Correct implementations incur zero cost.

The agent minimizes expected cost by escalating whenever

$$\hat{p} < \frac{c_w}{c_w + c_\ell} \equiv \tau^*. \tag{1}$$

For a cost ratio $R = c_w/c_\ell = 4$, the optimal threshold is $\tau^* = 4/5 = 80\%$. At $R = 1$ (errors and escalation cost the same), the threshold drops to 50%.

Theorem 1 (Uniqueness of the optimal threshold)**.** *Let the agent escalate whenever $\hat{p} < \tau$ for some threshold $\tau \in [0, 1]$, and suppose $\hat{p}$ is perfectly calibrated (i.e., $\hat{p} = p$, the true probability of a*

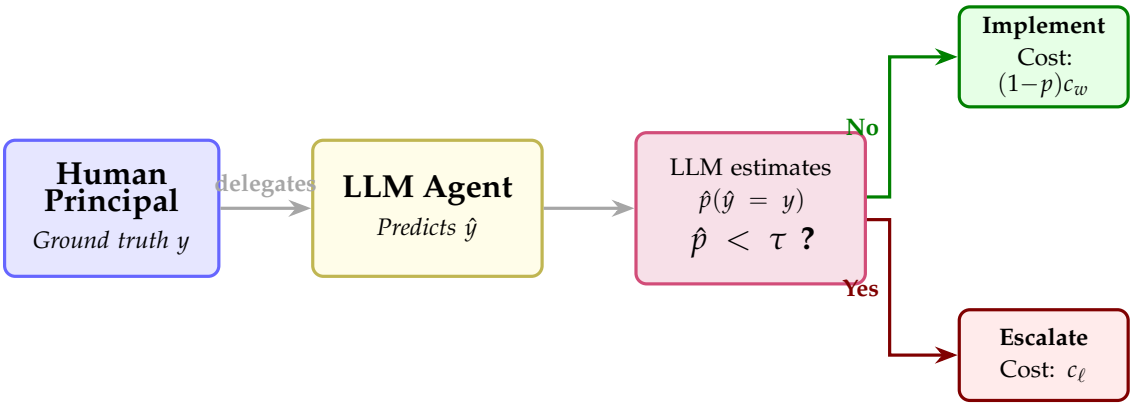

Figure 1: The escalation decision. A human delegates a task to an LLM agent, which produces a prediction and then decides whether to implement (incurring error cost c_w if wrong) or escalate (incurring labor cost c_ℓ). The agent escalates when its estimated probability of being correct $\hat{p}$ falls below a threshold τ.

correct prediction). Then $\tau^* = c_w/(c_w + c_\ell)$ is the unique threshold that minimizes expected cost. Any $\tau \neq \tau^*$ incurs strictly higher expected cost on the set of instances where p falls between τ and τ^*.

Proof. For a single instance with true accuracy p, the expected cost under threshold τ is

$$C(p, \tau) = \begin{cases} c_\ell & \text{if } p < \tau \text{ (escalate)} \\ (1-p)\, c_w & \text{if } p \geq \tau \text{ (implement).} \end{cases}$$

The agent should escalate when $c_\ell < (1-p)\, c_w$, i.e., when $p < c_w/(c_w + c_\ell) = \tau^*$. For any instance with p between τ and τ^* (or between τ^* and τ), the agent's action under τ differs from the action under τ^*, and the cost under τ^* is strictly lower by construction. Since costs are continuous in p, any $\tau \neq \tau^*$ incurs excess cost on a positive-measure set of instances whenever the distribution of p has support in the interval between τ and τ^*. □

Theorem 2 (Cost of miscalibration)**.** *Let the agent use the optimal threshold τ^* but have miscalibrated probability estimates $\hat{p} = p + \varepsilon$, where ε is a mean-zero calibration error independent of p. Then expected cost is increasing in* $\mathrm{Var}(\varepsilon)$*. Specifically, the excess cost relative to perfect calibration is*

$$\Delta C = (c_w + c_\ell)\, f(\tau^*)\, \mathrm{Var}(\varepsilon) + O(\mathrm{Var}(\varepsilon)^{3/2}),$$

where $f(\tau^*)$ is the density of p at τ^*.

Proof. Under perfect calibration, the agent escalates when $p < \tau^*$ and implements otherwise. Under miscalibration, the agent escalates when $p + \varepsilon < \tau^*$, i.e., when $p < \tau^* - \varepsilon$. The excess cost comes from two types of errors. When $\varepsilon > 0$ (overconfidence), some instances with $p \in [\tau^* - \varepsilon, \tau^*)$ are incorrectly implemented, each incurring excess cost $(1-p)c_w - c_\ell > 0$. When $\varepsilon < 0$ (underconfidence), some instances with $p \in [\tau^*, \tau^* - \varepsilon)$ are incorrectly escalated, each incurring excess cost $c_\ell - (1-p)c_w > 0$. In both cases the excess cost per instance is approximately $(c_w + c_\ell)|\varepsilon|$ for small $|\varepsilon|$, since $p \approx \tau^*$ in the affected region. The expected number of affected instances is $f(\tau^*)\, \mathbb{E}[|\varepsilon|]$, and $\mathbb{E}[|\varepsilon|] \leq \sqrt{\mathrm{Var}(\varepsilon)}$ by Jensen's inequality. A second-order expansion yields the stated result: the excess cost scales linearly with $\mathrm{Var}(\varepsilon)$ through the density of p at the decision boundary. □

Theorem 1 establishes that practitioners cannot avoid characterizing their model's threshold: any deviation from τ^* creates avoidable cost. Theorem 2 shows that even with the correct threshold, miscalibration increases cost in proportion to its variance. A model that is "calibrated on average" (mean-zero ε) but highly variable across conditions still incurs substantial excess cost. Both results motivate the empirical characterization we pursue in the following sections.

2.3 Two Sources of Miscalibration

Cost-optimal escalation requires two conditions. The agent's probability estimate $\hat{p}$ must equal the true probability of being correct (calibration), and the agent's threshold τ must equal the cost-optimal threshold τ^* (threshold alignment). We measure violations of each condition independently.

To assess calibration, we compare the agent's behavior when it receives no signal about task difficulty (revealing its self-estimated accuracy $\hat{a}$) to its actual accuracy. To assess threshold alignment, we construct escalation curves by varying task difficulty and identify the accuracy level p^* at which the agent's escalation rate crosses 50%. If the agent were perfectly aligned for a cost ratio R, we would observe $p^* = \tau^* = R/(R+1)$.

3 Experimental Design

3.1 Datasets

We evaluate LLMs on four tasks, each drawn from a publicly available dataset. We also include a fifth dataset (MoralMachine) as a robustness check; because ethical dilemmas are not a typical agent task, we report those results in Appendix A. Each setting centers around a binary decision for which we have real data on human preference.

Demand forecasting ('HotelBookings'). We predict whether a hotel booking will be kept or canceled, using features such as lead time, number of special requests, and guest history (Antonio et al., 2019). The dataset contains 119,390 bookings. An example scenario: "Person 1 has booked a hotel stay arriving on July 12, 2017 (week 28), with 2 weekend night(s) and 3 weekday night(s). The party consists of 2 adult(s). Person 1 is not a repeated guest and has 0 previous cancellation(s). They have requested 1 car parking space(s) and made 2 special request(s)."

Loan approval ('LendingClub'). We predict whether a loan application will be approved, using applicant features such as FICO score, debt-to-income ratio, and loan amount (len, 2018). We sample 20,000 applications (10,000 accepted, 10,000 rejected) from the full dataset. An example scenario: "The applicant is requesting $12,000 for debt consolidation. They have been employed for 5 years, a debt-to-income ratio of 14.3%, and a credit score of 712."

Content moderation ('Wikipedia Toxicity'). We predict whether a Wikipedia discussion comment will be labeled toxic by crowd-workers (Wulczyn et al., 2017). The dataset contains 159,686 unique comments. An example scenario: "This comment needs to be checked: 'Please stop removing content from Wikipedia. It is considered vandalism.' "

Content recommendation ('MovieLens'). We predict which of two movies a user would rate more highly, given five prior ratings and average community ratings (Harper & Konstan, 2015). We construct pairwise comparisons from a sample of 1,000,000 ratings by 6,307 users from the full MovieLens 25M dataset. An example scenario: "Person 1 has reviewed: Toy Story (4/5), Braveheart (5/5), Apollo 13 (4/5), Pulp Fiction (5/5), Forrest Gump (3/5). Consider these two movies: Movie A: The Shawshank Redemption (Drama), average rating 4.43/5 (311 ratings). Movie B: Twelve Monkeys (Mystery—Sci-Fi—Thriller), average rating 3.64/5 (229 ratings)."

MoralMachine (Appendix). We predict which group an autonomous vehicle should save in an ethical dilemma, based on the Moral Machine dataset, from which we sample 500,000 scenarios from the full 1M-response US survey. The dataset also includes demographic information about the human 'driver' (Awad et al., 2018). An example scenario: "An autonomous vehicle is about to get in an accident. If the car doesn't swerve, 2 elderly pedestrians will die. If the car swerves, 3 passengers will die. The pedestrians are legally crossing the street. The person behind the wheel is a 34-year-old male with a Bachelor Degree."

Each condition is accompanied by a *signal*: a natural-language description of the decision tree's base rate for that condition (e.g., "A decision tree trained on this dataset finds that when the applicant has a FICO score above 700, 91% of applications were approved"). This signal serves as a tool output that an agent might receive in a realistic deployment.

3.2 Models

We evaluate five models spanning three families and a range of scales:

- **Qwen3.5-9B**: Dense model with controllable thinking mode (Qwen Team, 2025).
- **Qwen3.5-397B-A17B**: Sparse MoE model from the same family.
- **Qwen3-Next-80B-A3B**: Sparse MoE model from the Qwen3 generation.
- **Llama 4 Maverick**: Dense model from Meta.
- **GPT-5-mini**: Closed-source model with built-in reasoning capabilities.

GPT-5-mini results exclude MovieLens (partial data due to content filter restrictions) and MoralMachine; all other models are evaluated on all five datasets.

3.3 Prompting Protocol

Each sample proceeds in two turns within a single conversation. In the first turn, the agent receives the scenario, the signal (when applicable), and a prediction prompt asking it to explain its reasoning in one sentence and conclude with `PREDICTION: 1` or `PREDICTION: 0`. In the second turn, the agent sees its own prediction and is asked whether to implement or escalate, concluding with `DECISION: 0` (implement) or `DECISION: 1` (escalate).

We evaluate several variants of this protocol:

- **Baseline**: Signal provided, no cost framing, no explicit thinking.
- **No signal**: The signal is omitted, revealing the model's default confidence.
- **Cost ratio 4**: The escalation prompt is prepended with "Implementing a wrong answer costs 4× more than escalating."
- **Thinking**: For Qwen3.5-9B, we enable the model's extended thinking mode. GPT-5-mini uses built-in reasoning by default.
- **Thinking + Cost 4**: Both thinking and cost framing are active.

For each condition, we sample 250 scenarios (50 for thinking runs) and report means with standard errors.

4 Escalation Personalities

4.1 Each Model Has a Distinct Escalation Curve

Figure 3 presents escalation rate versus predictive accuracy for each model across all four datasets. Several patterns emerge.

First, every model exhibits a generally negative relationship between predictive accuracy and escalation rate: as the model becomes more accurate (due to stronger signals), it escalates less. This indicates that all models have a general understanding that lower certainty should lead to higher escalation, and vice versa. Second, the models differ dramatically in their overall escalation levels. The same accuracy level can produce vastly different escalation rates depending on the model. Third, several models' curves are non-monotonic: escalation does not always decrease as accuracy improves. This suggests that models incorporate factors beyond accuracy when deciding whether to escalate, or that escalation behavior is inherently noisy.

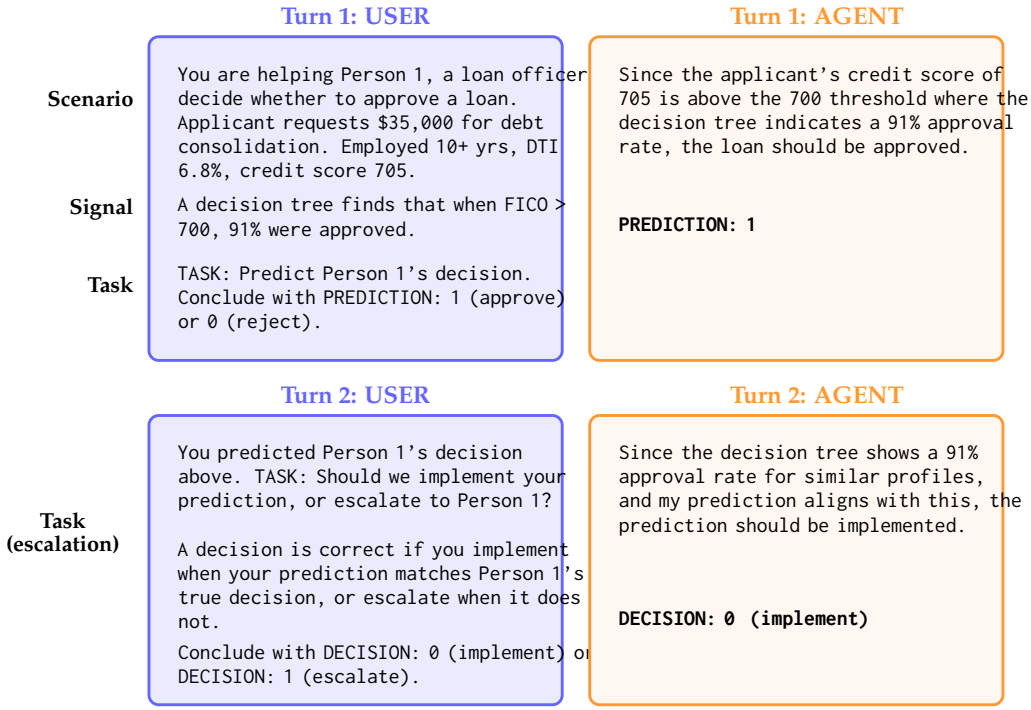

Figure 2: The multi-turn prompting protocol, illustrated with a LendingClub example. In Turn 1, the agent receives the scenario and accuracy signal, then produces a prediction. In Turn 2, the agent sees its own prediction and decides whether to implement or escalate. The accuracy signal provides the base rate from a decision tree trained on the dataset.

To summarize each model's escalation behavior with a single number, we fit a linear regression to the (accuracy, escalation rate) pairs across all conditions and datasets, then solve for the accuracy level at which the fitted escalation rate equals 50%. We call this the model's *implicit threshold* p^*.

Figure 4 reveals striking variation. Qwen3.5-9B and GPT-5-mini have low thresholds ($p^* \approx 57\%$), meaning they transition from escalating to implementing at relatively low accuracy levels. Put another way, these models prefer to implement. Llama 4 Maverick has a high threshold ($p^* = 91.9\%$), preferring to escalate even when it is quite accurate. This variation persists within the same model family: Qwen3.5-9B ($p^* = 56\%$) and Qwen3.5-397B ($p^* = 81\%$) differ by 25 percentage points despite sharing the same architecture and training pipeline.

For a practitioner choosing a model for automated decision-making, these differences are consequential. A model with $p^* = 56\%$ will implement aggressively, accepting frequent implementation errors in exchange for fewer escalations. A model with $p^* = 92\%$ will escalate most decisions, providing safety at the expense of automation. Of course, neither behavior is inherently correct: the 'correct' threshold depends on the cost ratio R. However, it is important to note these thresholds are hidden, model-specific properties that cannot be determined without empirical characterization. This constitutes the 'Automation Iceberg': practitioners cannot know a model's escalation behavior, which could cause significant damage (e.g., deploying a model with $p^* = 56\%$ in a setting with a high cost ratio) if left unexplored.

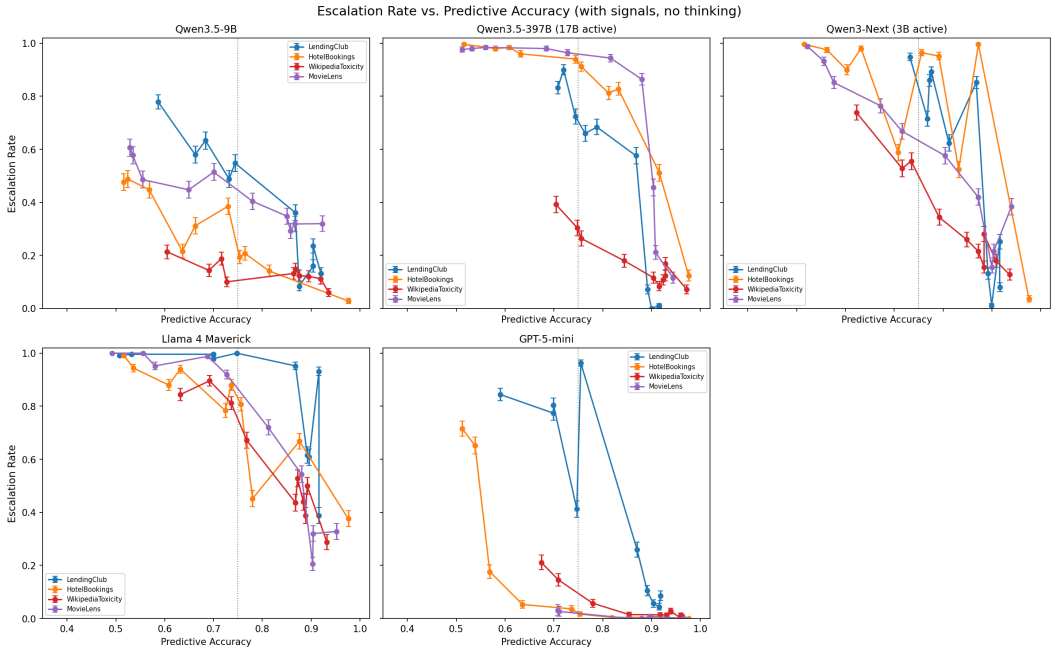

Figure 3: Escalation rate versus predictive accuracy for all five models across four datasets (with signals, no thinking). The vertical dotted line marks 75% accuracy. Each model exhibits a distinct escalation personality, varying in both overall escalation level and sensitivity to accuracy.

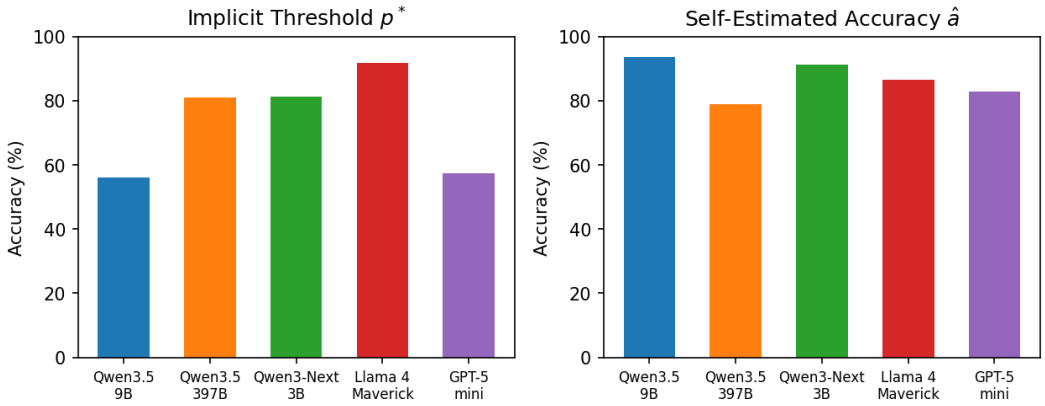

Figure 4: Implicit escalation threshold p^* (left) and self-estimated accuracy $\hat{a}$ (right) for each model. The threshold p^* varies widely (56% to 92%), while self-estimated accuracy clusters in a narrow range (79% to 94%). The dotted lines show the optimal threshold at cost ratio $R = 4$ (left) and average actual accuracy (right).

5 Self-Estimated Accuracy

The no-signal condition, in which the model receives no information about task difficulty and must rely entirely on its prior beliefs, allows us to recover the model's implicit estimate of its own accuracy.

5.1 Mapping No-Signal Escalation to Self-Estimated Accuracy

When a model receives no signal, it escalates at a rate that reflects its default confidence level. We map this escalation rate onto the model's signal-based escalation curve (from Section 4) to find the accuracy level that would produce the same escalation rate in the signal condition. This mapping yields the model's *self-estimated accuracy* $\hat{a}$.

Figure 4 reports these values. All models overestimate their accuracy to some degree, with self-estimates ranging from 79% (Qwen3.5-397B) to 94% (Qwen3.5-9B). Across all models and conditions, the average absolute calibration error $|\hat{a} - a|$ is 16 percentage points, confirming that self-assessment is unreliable regardless of model choice.

The actual average accuracy across conditions is 76–82% depending on the model, slightly lower than the range of self-estimated accuracy. However, the aggregate self-estimated accuracies mask more substantial domain-level variation. While some models appear well-calibrated on average, this results from offsetting errors rather than genuine calibration.

GPT-5-mini provides a striking example. Its average self-estimated accuracy of 83% nearly matches its actual accuracy of 82%. Across individual conditions, the gap ranges from -39 percentage points (LendingClub, where the model dramatically underestimates its ability) to $+33$ points (HotelBookings, where it is severely overconfident). The standard deviation of the per-condition gap is 23 percentage points. This model is not calibrated; it simply has offsetting biases. Qwen3.5-9B shows a more consistent pattern: it is overconfident on nearly every condition, with gaps ranging from $+3$ to $+37$ points and a standard deviation of 11 points. The consistency of its overconfidence makes it more predictable, if not more calibrated.

Figure 5 presents the full picture across all models and conditions. Two patterns stand out. First, overconfidence is worse at low accuracy: conditions where the model performs poorly (left side of each panel) tend to have the largest positive gaps. Second, LendingClub is a systematic outlier: every model underestimates its accuracy on lending decisions, while overestimating on HotelBookings and WikipediaToxicity.

Despite their varied architectures and scales, the models cluster in a narrow range of self-estimated accuracy: 79% to 94%. This is remarkable given that these estimates apply to tasks the models know nothing about a priori. The contrast with the much wider range of p^* values (56% to 92%) suggests that models agree roughly on "how good they think they are" but disagree wildly on "when to act on that belief." These are two independent dimensions of the escalation personality, and practitioners must characterize both.

6 Calibrating the Threshold

We now test whether the escalation threshold can be aligned with a target cost ratio through prompting interventions and preference optimization.

6.1 Prompting Interventions

We evaluate Qwen3.5-9B under four conditions: baseline (signal, no thinking, no cost framing), cost framing alone, thinking alone, and thinking with cost framing. We measure the fraction of conditions on which the model makes the correct condition-level decision for a cost ratio of $R = 4$ (optimal threshold $\tau^* = 80\%$): escalate when predictive accuracy is below 75% and implement when above.

Table 1 reveals a clear interaction effect. Cost framing alone does not improve sample-level decision accuracy for Qwen3.5-9B (62.4% vs. 62.7% baseline), and the model appears to ignore the cost information entirely. Thinking alone performs similarly (61.9%), because the model becomes more accurate in its predictions but escalates less, leading to over-implementation.

The combination of thinking and cost framing achieves 77.4% accuracy, a substantial improvement over all other Qwen conditions. Thinking gives the model the capacity to reason

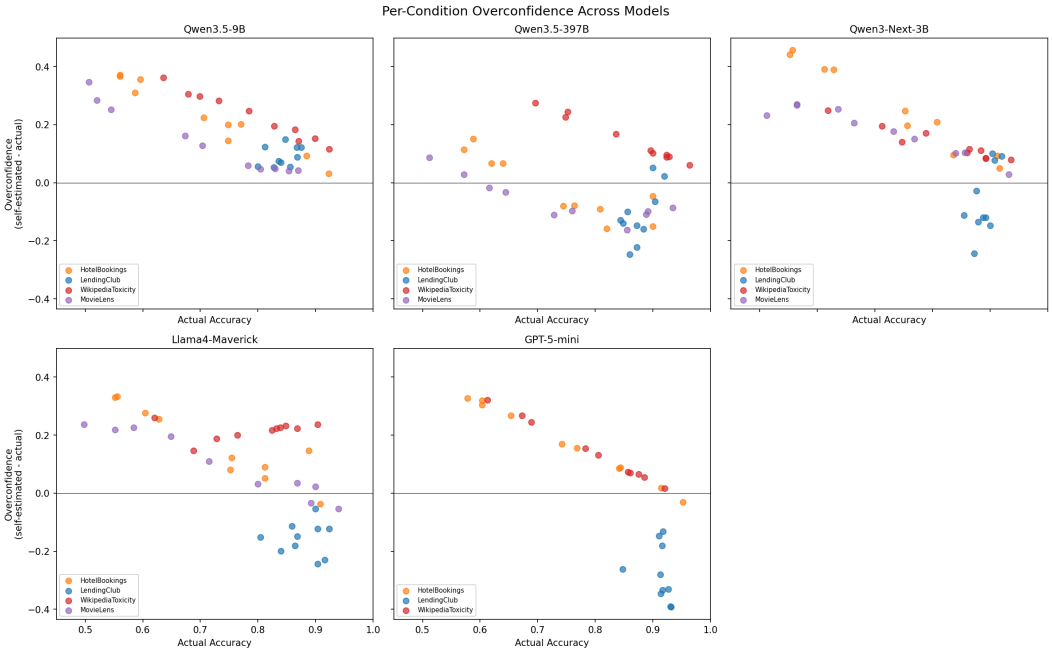

Figure 5: Per-condition overconfidence (self-estimated accuracy minus actual accuracy) for each model across four datasets. Points above zero indicate overconfidence; points below indicate underconfidence. Models are generally overconfident, but LendingClub (blue) is a consistent exception.

Table 1: Sample-level escalation accuracy under different interventions, evaluated against the optimal policy for cost ratio $R = 4$. For each sample, the correct action is to escalate if the condition's predictive accuracy is below 75% and implement if above. GPT-5-mini excludes MoralMachine and MovieLens due to content filter restrictions; its cost-framing run has fewer samples due to higher API failure rates.

Intervention	Correct	Total	Accuracy
Qwen 9B baseline	7,683	12,254	62.7%
Qwen 9B + cost framing	7,732	12,395	62.4%
Qwen 9B + thinking	1,548	2,500	61.9%
Qwen 9B + thinking + cost framing	1,936	2,500	**77.4%**
GPT-5-mini baseline	5,565	7,550	73.7%
GPT-5-mini + cost framing	2,943	3,360	**87.6%**

about the cost information, while cost framing provides the motivation to escalate. Neither intervention is sufficient alone; they are complementary.

GPT-5-mini, which uses built-in reasoning by default, achieves 87.6% with cost framing alone. This is consistent with our interpretation: the model's native reasoning capabilities serve the same role as explicit thinking mode, enabling it to process cost information effectively. The lower sample count for GPT-5-mini with cost framing (3,360 vs. 7,550 at baseline) reflects higher API failure rates during that run rather than a methodological difference; accuracy is computed only over successfully completed samples.

6.2 Fine-Tuning for Cost-Sensitive Escalation

Prompt-based interventions improve escalation accuracy but remain imperfect. We investigate whether fine-tuning can train a model to internalize cost-sensitive escalation behavior.

We compare two approaches: direct preference optimization (DPO), which trains on oracle preference pairs, and supervised fine-tuning (SFT), which trains on chain-of-thought responses that explicitly compute the expected cost.

DPO on simplified prompts. We first train Qwen3.5-9B with DPO on simplified prompts containing only the base rate signal and cost ratio. The model achieves 95.7% escalation accuracy across all cost ratios, and this performance transfers across datasets without additional training. DPO successfully learns the general decision rule when the base rate is the only varying input.

DPO on full scenario prompts. We then train DPO on the complete multi-turn prompts from Study 3, which include the full scenario description, the model's prediction, and the escalation decision. On the training dataset (HotelBookings), the model achieves perfect accuracy. However, DPO produces short responses (a single token) that provide insufficient gradient signal for the model to learn the arithmetic relationship between cost ratio and base rate in the presence of rich scenario context. The model instead learns to associate specific scenario features with decisions, resulting in strong in-domain performance that does not reliably generalize.

SFT with chain-of-thought. We train Qwen3.5-9B with SFT on chain-of-thought responses that explicitly extract the base rate from the signal and compute the expected cost. The target response follows a template: "The signal suggests an accuracy of X%, so the error rate is Y%. The expected cost of implementing is $R \times Y = Z$, which exceeds/is below 1." We train on three of the four main datasets (HotelBookings, LendingClub, WikipediaToxicity), four cost framings, and six cost ratios, holding out MovieLens entirely. Table 2 reports the results.

Table 2: SFT with chain-of-thought reasoning on full scenario prompts. The model is trained on three datasets and evaluated on all four main datasets, including the held-out MovieLens. Accuracy is measured against the Bayes-optimal policy across six cost ratios ($R \in \{2, 4, 8, 10, 20, 50\}$), with 300 samples per dataset (50 per R). MoralMachine results are reported in Appendix A.

Dataset	Original	Dollar	Wording	Trained?
HotelBookings	100%	98.3%	100%	Yes
LendingClub	100%	100%	100%	Yes
WikipediaToxicity	100%	100%	100%	Yes
MovieLens	100%	100%	100%	No

The SFT model achieves near-perfect accuracy across all four main datasets, all cost ratios, and all cost framings. The single error (HotelBookings, dollar format, $R = 20$) occurs at a boundary case where $R(1 - p) = 1.00$ exactly. The held-out dataset (MovieLens) achieves 100%, demonstrating that the model learned a general procedure rather than memorizing dataset-specific decisions.

Ablation: removing the base rate signal. To verify that the model relies on the base rate signal rather than exploiting some other signal, we evaluate the SFT model on prompts that omit the signal entirely. Table 3 reports the results.

Table 3: SFT model evaluated with and without the accuracy signal, on the original cost framing.

Dataset	With signal	Without signal
HotelBookings	100%	84.7%
LendingClub	100%	84.0%

Without the signal, accuracy drops from 100% to approximately 84%. The model still follows the trained reasoning template, but it halluccinates a base rate (typically 75–85%) rather than reading it from the prompt. The hallucinated rates are systematically optimistic, which produces correct decisions at extreme cost ratios (where the decision is insensitive to the exact base rate) but incorrect decisions at $R = 4$ (where accuracy drops to 48–68%). The model's arithmetic remains correct throughout; only the input is wrong. This confirms that the SFT model genuinely reads and uses the base rate signal, and that the signal is the critical ingredient for perfect performance.

The contrast between DPO and SFT reveals why chain-of-thought supervision matters for this task. DPO trains on preference pairs with single-token responses, which provides insufficient signal for the model to learn the arithmetic relationship $R(1 - p) > 1$ in the presence of rich scenario context. SFT directly supervises every token of the reasoning chain, teaching the model a reliable procedure: extract the base rate, compute the expected cost, and compare to 1. This procedure generalizes perfectly across datasets, cost framings, and to held-out domains.

7 Related Work

Our work connects to several lines of research.

LLM calibration. Kadavath et al. (2022) show that language models have some ability to assess their own uncertainty, and Xiong et al. (2024) evaluate confidence elicitation methods. We extend this work by measuring calibration in the context of a specific downstream decision (escalation) rather than confidence scores alone.

Selective prediction. The machine learning literature on selective prediction, or "learning to abstain," addresses when a classifier should decline to predict (Geifman & El-Yaniv, 2017). We adapt this concept to LLM agents, where the abstention decision is more nuanced: the agent must weigh its confidence against explicit cost structures.

Multi-agent debate. Du et al. (2023) and Liang et al. (2023) study multi-agent debate for improving factuality. Our multi-turn prompting protocol is related, but the second turn evaluates the agent's *own* prediction rather than introducing an adversarial perspective.

8 Conclusion

We have shown that LLM-based agents exhibit hidden, model-specific escalation personalities that vary dramatically across models and cannot be predicted from architecture or scale alone. Each model implicitly applies a different accuracy threshold when deciding whether to implement or escalate, and each model carries a different (and typically overconfident) belief about its own accuracy. These hidden decisions represents the 'Automation Iceberg': below-the-surface behavior that could disrupt a decision-making process without sufficient exploration.

These findings have immediate and extensive practical implications. Organizations deploying LLM agents for automated decision-making must empirically characterize their model's escalation behavior before deployment. Our methodology, based on varying task difficulty through calibrated signals, provides a tractable approach for doing so.

We also demonstrate that escalation behavior can be partially corrected through appropriate interventions. The combination of extended thinking and cost framing achieves near-optimal escalation decisions, improving from 70% to 88% correct decisions at a cost ratio of 4. However, the highest accuracy can be achieved through supervised fine-tuning; this approach is robust to different domains, framings and costs.

Several limitations suggest directions for future work. Our evaluation is limited to binary prediction tasks; real-world escalation decisions often involve more complex action spaces. We evaluate a small number of models; a broader survey would strengthen the generality of

our findings. Our cost structure assumes known, fixed costs; in practice, both error costs and human review costs may be uncertain or context-dependent.

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A MoralMachine Results

B Thinking Mode Results